

AS1 end economics

Chp:- Demand and Supply

Topic:- Consumer Surplus

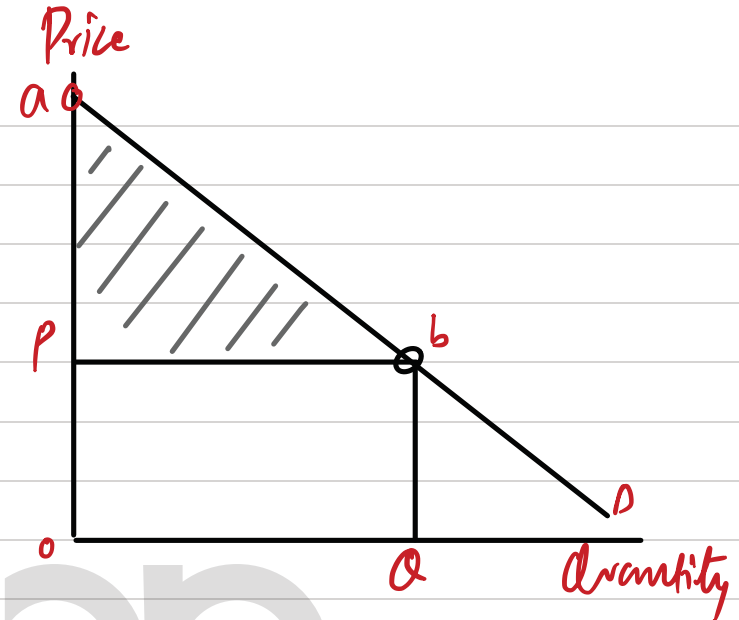
alpha

Zarac
Mishra



Consumer Surplus

$10,000 - 5000 \Rightarrow 5000 \text{ Rs}$
 $\Downarrow$ Maximum amount willing to pay!
 $\Downarrow$ Selling price
 $\Downarrow$ Consumer surplus



Consumer surplus is the difference between the total amount that consumers are willing and able to pay for a good or service and the total amount that they actually do pay i.e. the market price

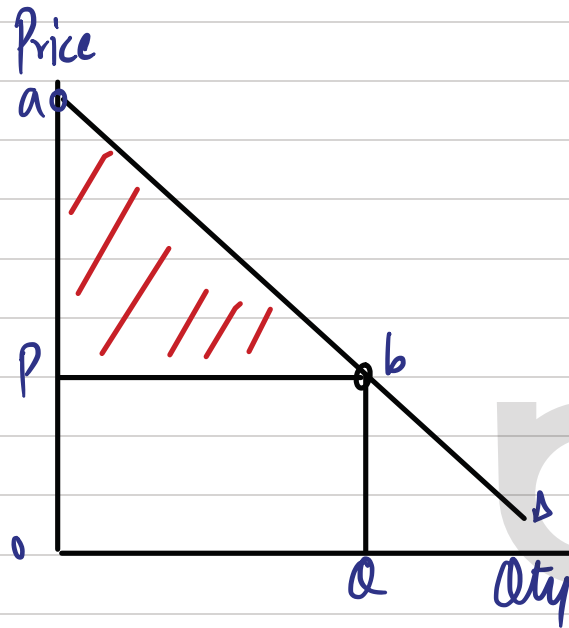
* $TR/TE = P \times Q$ ($OPbQ$)

* Willingness:- $OabQ$

* C.S:- Pab

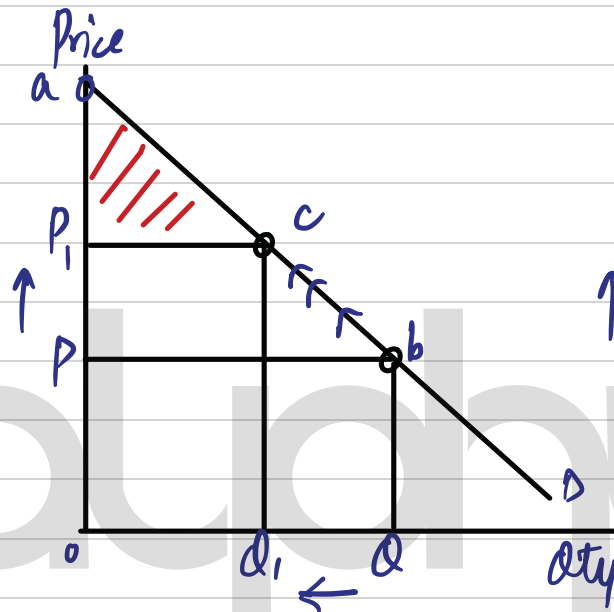
Consumer surplus is indicated by the area under the demand curve and above the market price.

Changes in price affects consumer surplus



Willingness:- $OabQ$
 TR/TE:- $OPbQ$

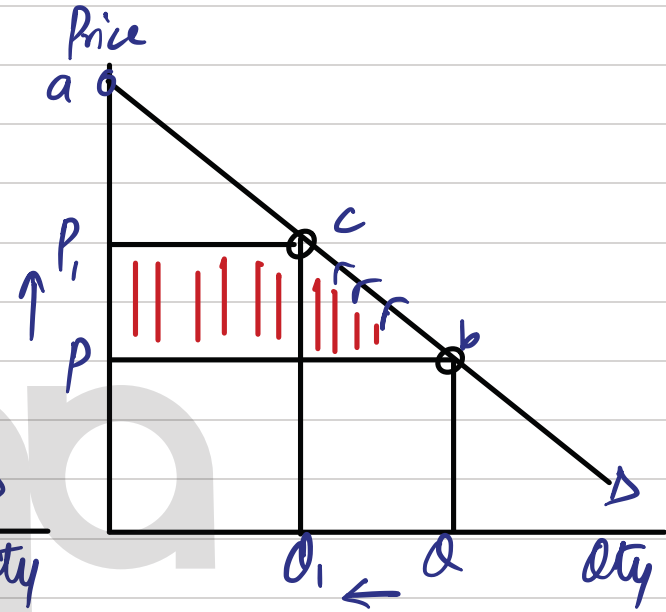
C.S:- Pab



Price ↑

Willingness:- $OacQ_1$
 TR/TE:- OP_1cQ_1

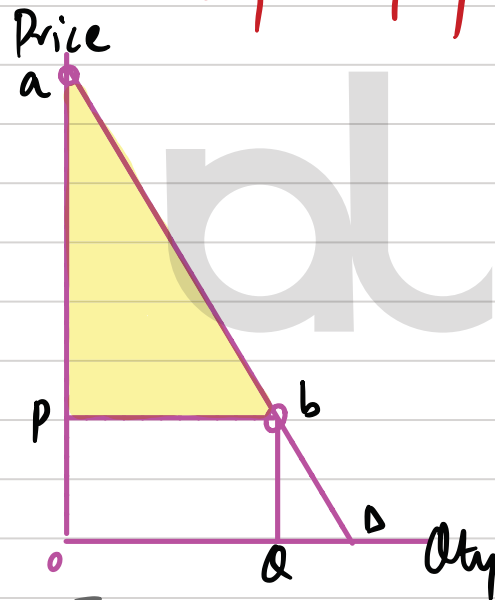
C.S:- P_1ac



Loss in C.S :- P_1P, cb

Consumer surplus and price elasticity of demand

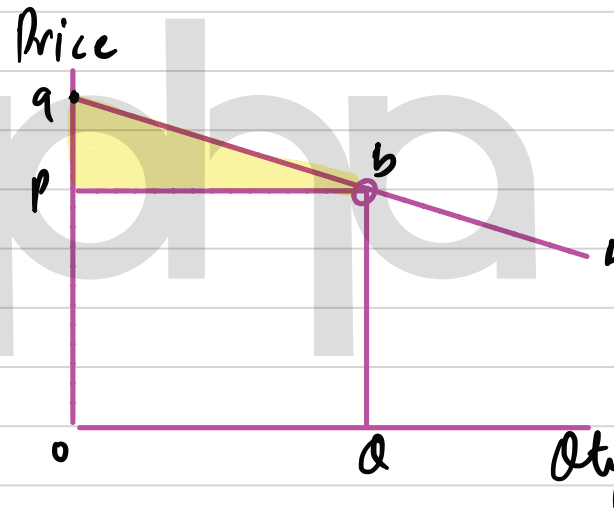
When demand is inelastic, there is a greater consumer surplus because buyers willing to pay a very high price to continue consuming the product. Whereas in case of elastic demand, as there is availability of substitutes, consumers are not willing to pay a much higher price than the selling price.



Inelastic demand



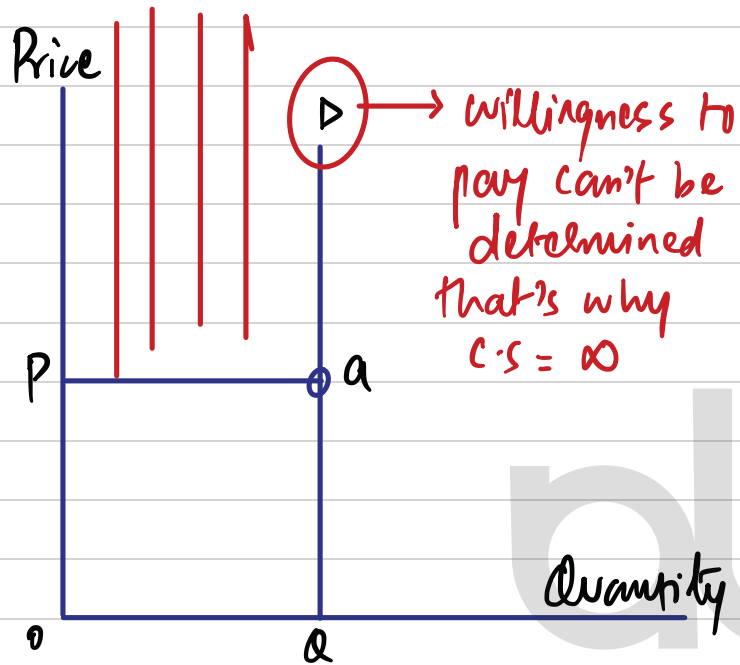
Willingness to pay is high due to less substitutes



Elastic demand

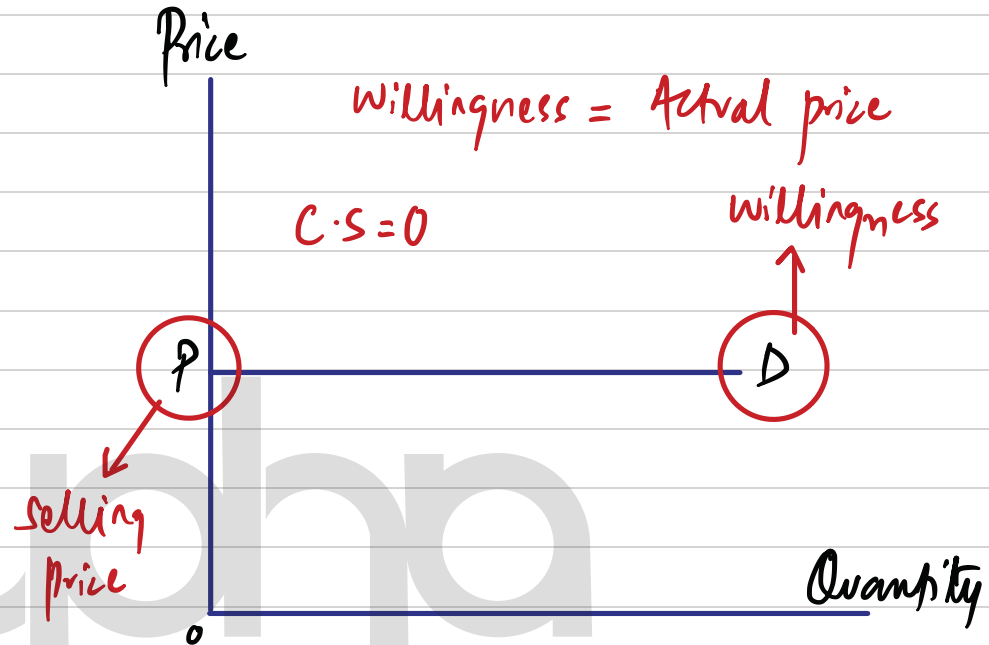


Willingness to pay is less due to more availability of substitutes



Perfectly inelastic demand

Amount which the consumer is willing to pay can't be determined as there is no substitute, therefore consumer surplus is infinite.



Perfectly elastic demand

Due to existence of perfect knowledge, the amount which the consumer is willing to pay is equal to selling price, therefore consumer surplus is zero.

Marginal consumer surplus

Juices	1	2	3	4	5	6
Willingness	\$10	\$9	\$8	\$7	\$6	\$5
Actual	\$5	\$5	\$5	\$5	\$5	\$5
C.S	\$5	\$4	\$3	\$2	\$1	0

When you start to consume a good one after the other, the amount which you are willing to pay keeps on reducing because of fall in satisfaction, keeping actual price same, marginal consumer surplus keeps on falling till it reaches zero, where the amount you are willing to pay is equal to selling price.

Questions

Marks: 26

Q1 Using a diagram, define consumer surplus? 6

Q2 Using diagrams, explain the effect of changes in price on consumer surplus? 6

Increase and decrease

Q3 Using diagrams, explain how consumer surplus varies with elasticity of demand? 8

Q4 Using numerical example, explain marginal consumer surplus? 6

Elastic

Inelastic

perfectly elastic

perfectly inelastic

↓
Additional